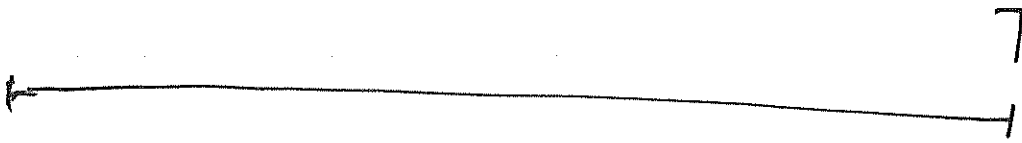
Short Hedge.



Short F_0

Long F_T.

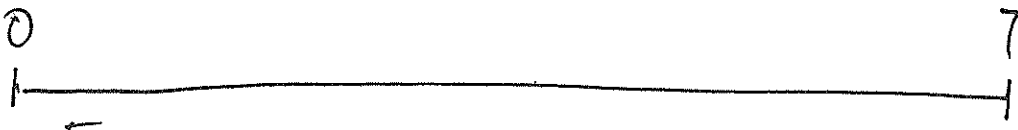
Short Asset . S_T.

$S_T = F_T$ ≈ T.

selling

Effective Price = $S_T + (F_0 - F_T) = F_0$.

Long Hedge.



Long F_0.

Short ~~Long~~ F_T.

Long Asset S_T

Effective Purchase Price = ~~S_T~~ − (~~F_T~~ − F_0) = F_0.

Short Hedge.

Apr. ——— June.

$S_0 = 3.5$ Short. $S_T = 3.10$.

Short. $F_0 = \boxed{3.35}$. Long $F_T = 3.10$.

Effective Price $= 3.10 + (3.35 - 3.10) = \boxed{3.35}$.

$= 3.70 + (3.35 - 3.70) = 3.35$.

Long Hedge.

Apr ——— June.

Long $F_0 = 3.35$. $S_T = 3.10$

$S_0 = 3.5$ Short $F_T = 3.10$.

Effective Purchase Price $= 3.10 - (3.10 - 3.35) = \boxed{3.35}$.

$= 3.70 - (3.70 - 3.35) = \boxed{3.35}$.

Closing Out.



Long F_0.
Short F_0.

Short F_t.
Long F_t.



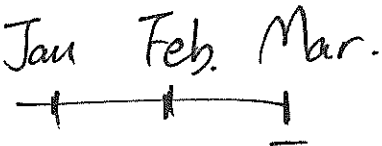
Long/Buy BHP share.
Short Sell - S_0.

Short/Sell BHP shares.
Buy BHP. S_t.

Basis Risk.

① Asset ≠ Underlying Asset.

② ~~Deliver~~ Maturity ≠ Time you require the asset.



③ Contract Size.

Cost of Asset $= S_T - (F_T - F_0)$ Long

$= S_t - (F_t - F_0)$

$= F_0 + (S_t - F_t) = F_0 + \text{Basis}$

$S_T - F_T \qquad 0$

Selling Price $= S_T + (F_0 - F_T)$ Short

$= S_t + F_0 - F_t$

$= F_0 + (S_t - F_t) = F_0 + \text{Basis}$